

ECO102: Introduction to Macroeconomics

Lecture 14: The Loanable Funds Market

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Outline

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- ❑ [The Ricardo-Barro Effect](#)
- ❑ [The Global Loanable Funds Market](#)

Long-Run Growth of Demand and Supply

- Over time, both demand and supply in the loanable funds market fluctuate and the real interest rate rises and falls
- Both the supply of loanable funds and the demand for loanable funds tend to increase over time
- On the average, they increase at a similar pace, so although demand and supply trend upward, the real interest rate has no trend. It fluctuates around a constant average level

Government in the Loanable Funds Market

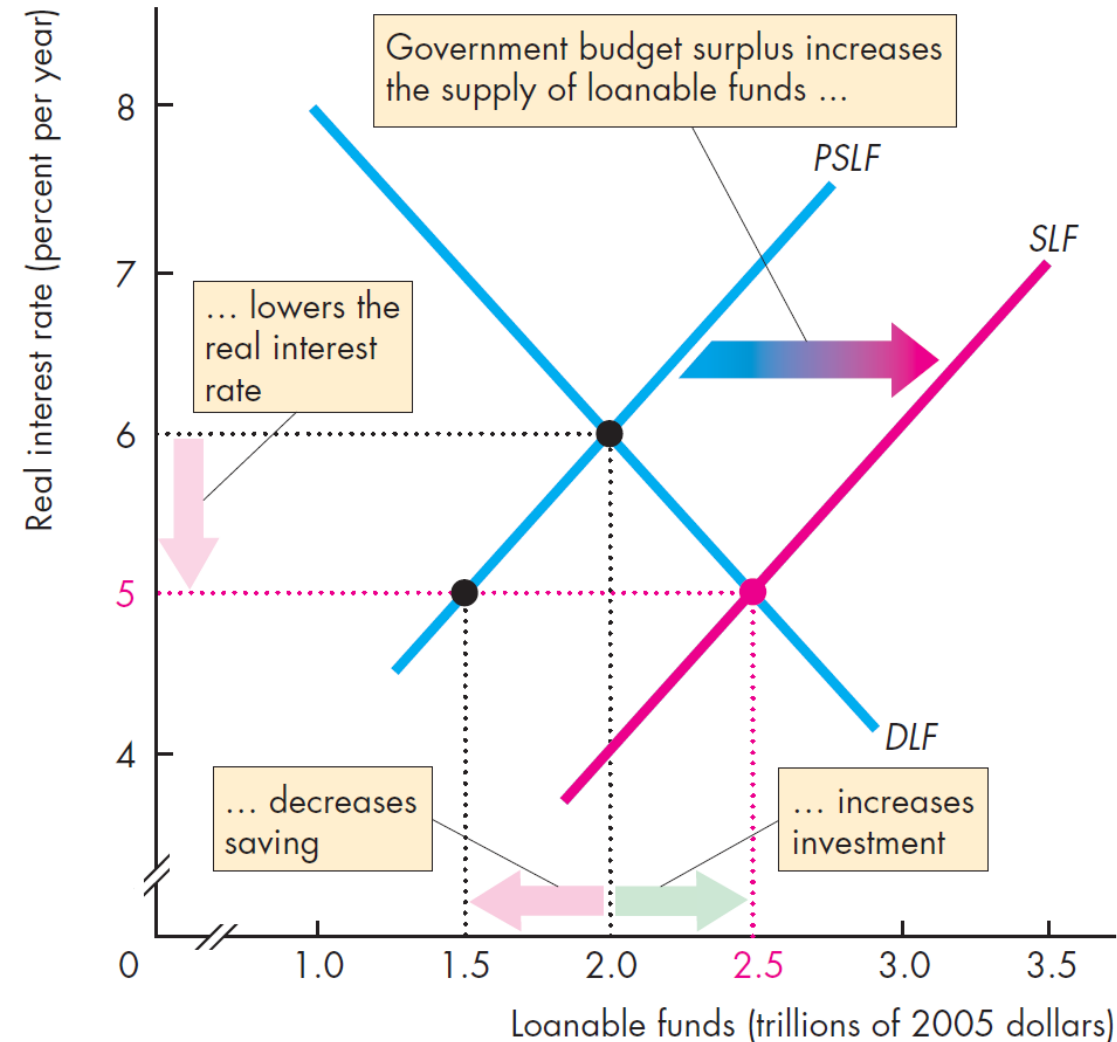
- A Government budget surplus *increases the supply* of loanable funds and contributes to financing investment
- A Government budget deficit *increases the demand* for loanable funds and competes with businesses for funds
- **Government Budget Surplus:** A Government Budget surplus shifts the supply of loanable funds curve to the right

The real interest rate falls, which decreases household saving and decreases the quantity of private funds supplied. The lower real interest rate increases the quantity of loanable funds demanded, and increases investment

Government in the Loanable Funds Market

A government budget surplus of \$1 trillion is added to private saving and the private supply of loanable funds (PSLF) to determine the supply of loanable funds, SLF

The real interest rate falls to 5 percent a year, private saving decreases, but investment increases to \$2.5 trillion



Government in the Loanable Funds Market

- **Government Budget Deficit:** A government budget deficit increases the demand for loanable funds, shifting the demand for loanable funds curve to the right.

The real interest rate rises, which increases household saving and increases the quantity of private funds supplied. But the higher real interest rate decreases investment and the quantity of loanable funds demanded by firms to finance investment

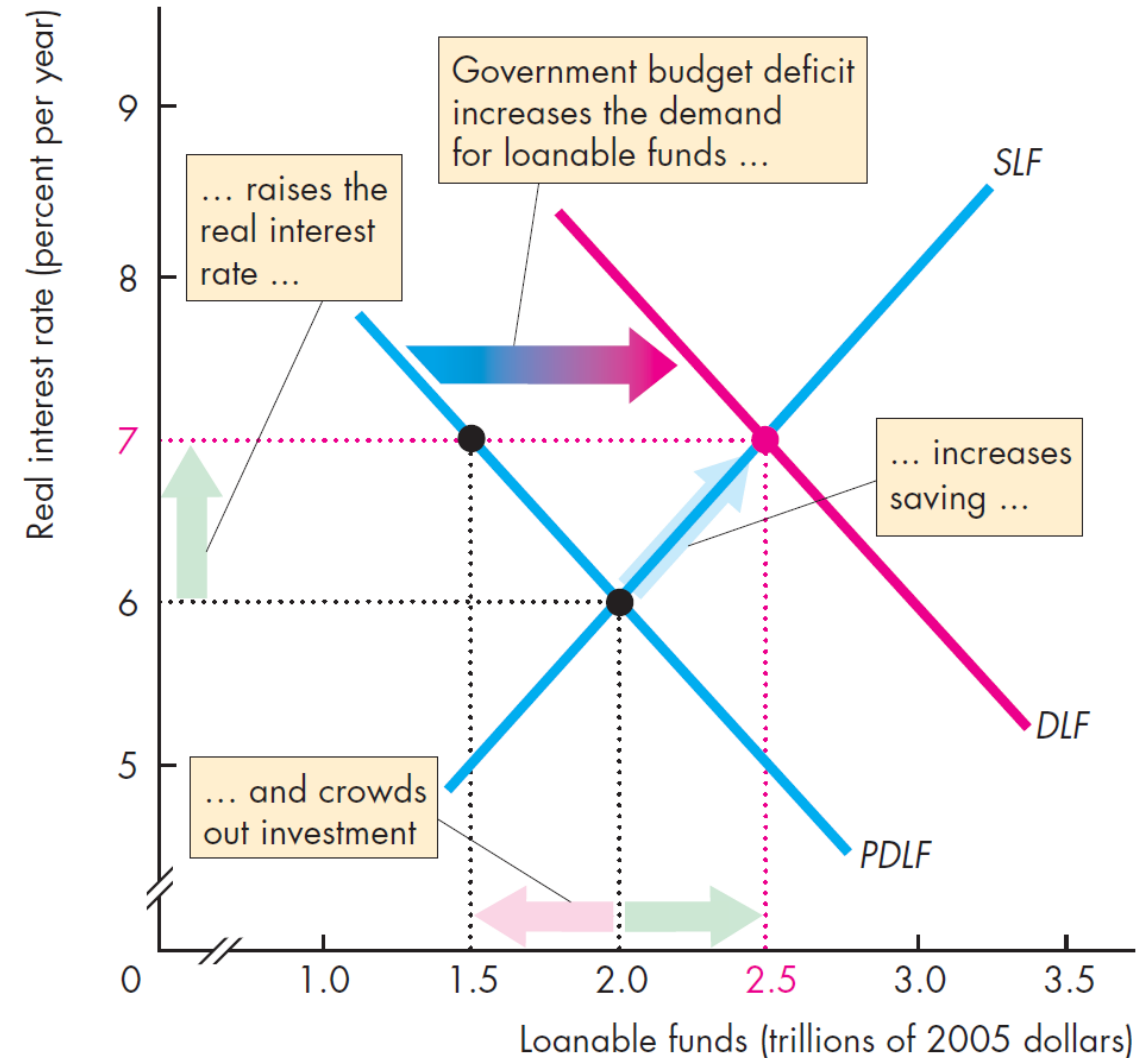
The tendency for a government budget deficit to raise the real interest rate and decrease investment is called ***the crowding-out effect***.

The crowding-out effect does not decrease investment by the full amount of the government budget deficit because the higher real interest rate induces an increase in private saving that partly contributes toward financing the deficit

Government in the Loanable Funds Market

A government budget deficit adds to the private demand for loanable funds curve (PDLF) to determine the demand for loanable funds curve, DLF

The real interest rate rises, saving increases, but investment decreases; a crowding-out effect



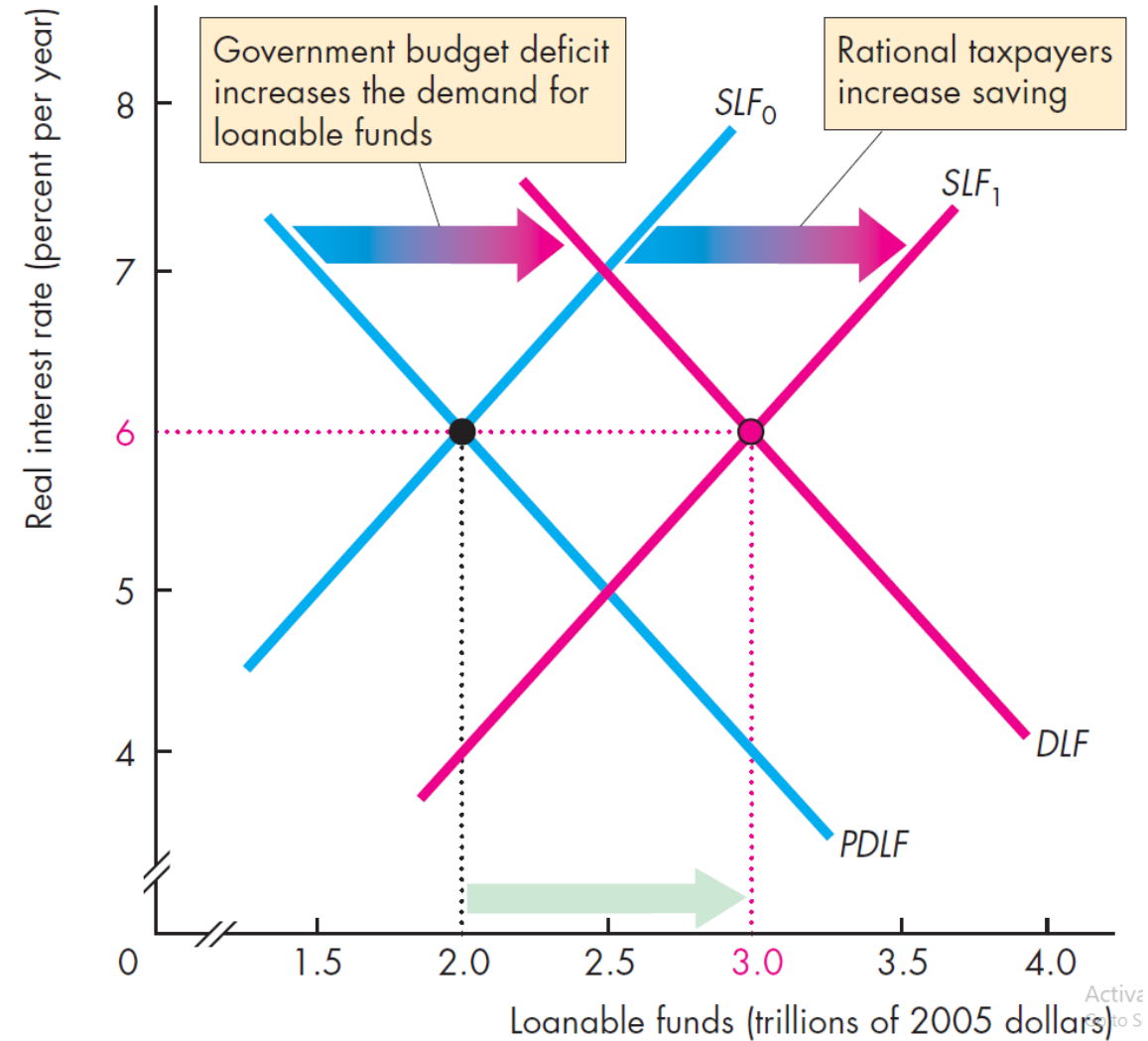
The Ricardo-Barro Effect

- First suggested by the English economist David Ricardo in the eighteenth century and refined by Robert J. Barro of Harvard University
- It states that the government budget, whether in surplus or deficit, has no effect on either the real interest rate or investment
- Barro says that taxpayers are rational; they assume a budget deficit today means that future taxes will be higher and future disposable incomes will be smaller, increasing savings today.
- Most economists regard the Ricardo-Barro view as extreme. But there might be some change in private saving that goes in the direction suggested by the Ricardo-Barro effect that lessens the crowding-out effect

The Ricardo-Barro Effect

A budget deficit increases the demand for loanable funds

Rational taxpayers increase saving, which increases the supply of loanable funds curve from SLF_0 to SLF_1 . Crowding out is avoided: Increased saving finances the budget deficit



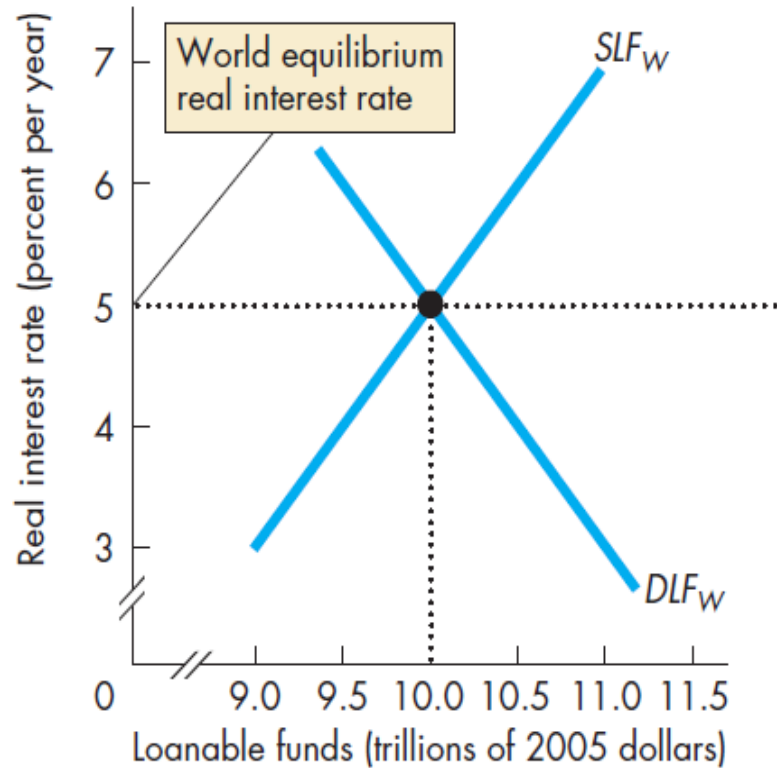
The Global Loanable Funds Market

- The loanable funds market is a single, integrated, global market. Funds flow into the country in which the interest rate is highest and out of the country in which the interest rate is lowest
- Lenders on the supply side of the market want to earn the highest possible real interest rate and they will seek it by looking everywhere in the world
- Borrowers on the demand side of the market want to pay the lowest possible real interest rate and they will seek it by looking everywhere in the world
- The interest rate on a risky loan minus that on a safe loan is called the ***risk premium***
- International capital mobility brings real interest rates in all parts of the world to equality except for differences that reflect differences in risk—differences in the risk premium

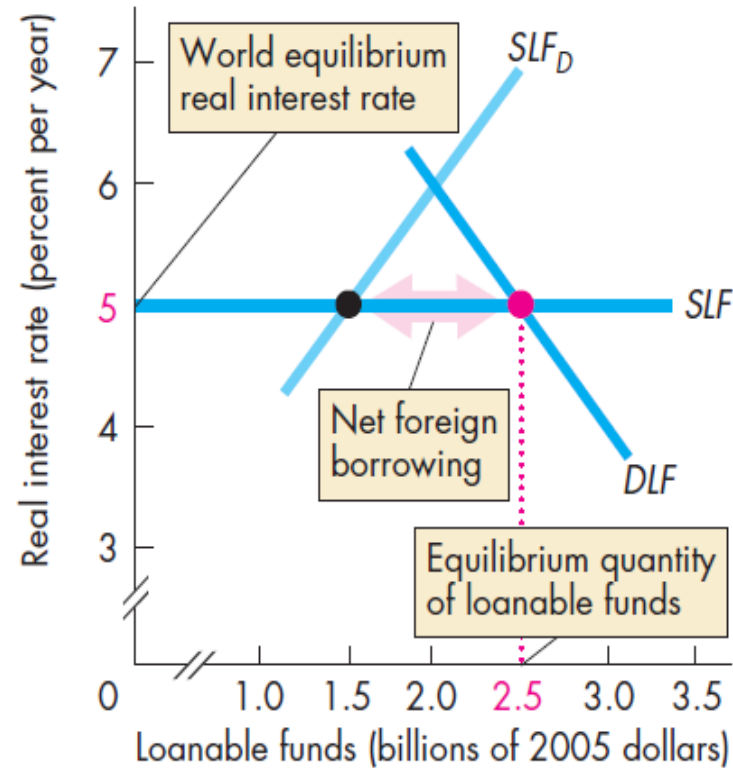
The Global Loanable Funds Market

- A country's loanable funds market connects with the global market through net exports. If a country's net exports are negative ($X < M$), the rest of the world supplies funds to that country and the quantity of loanable funds in that country is greater than national saving. If a country's net exports are positive ($X > M$), the country is a net supplier of funds to the rest of the world and the quantity of loanable funds in that country is less than national saving
- ***GO THROUGH THE RELEVANT SECTION FROM CHAPTER 24 OF THE BOOK***

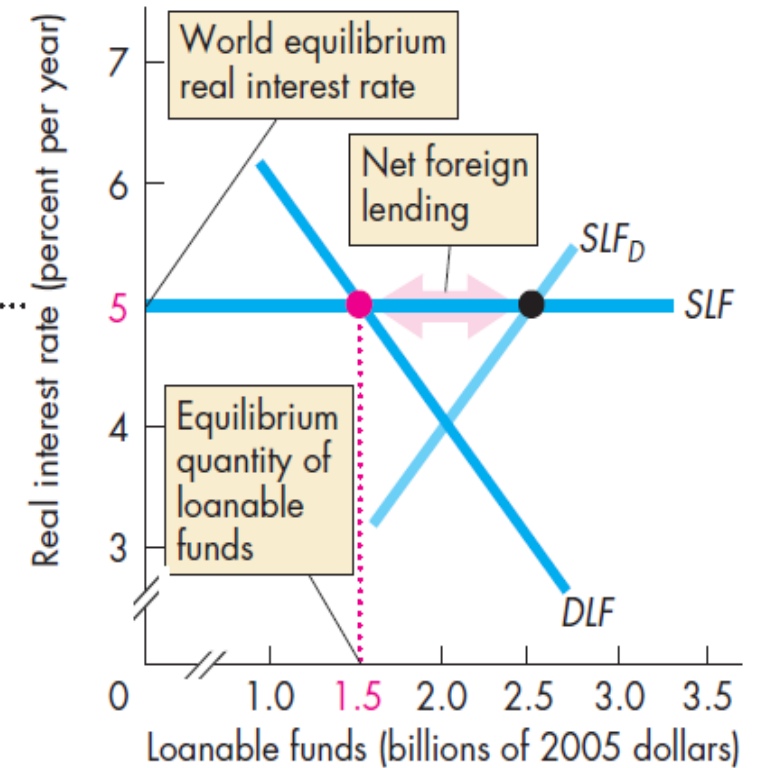
The Global Loanable Funds Market



(a) The global market



(b) An international borrower



(c) An international lender